UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))	Docket No. RM26-4-000

INITIAL COMMENTS OF
THE ORGANIZATION OF MISO STATES, INC.

On October 23, 2025, pursuant to Section 403 of the Department of Energy ("DOE") Organization Act,[1] the Secretary of Energy ("Secretary") issued a directive to the Federal Energy Regulatory Commission ("Commission" or "FERC") to initiate an advanced notice of proposed rulemaking ("ANOPR") for consideration and final action by April 30, 2026. The ANOPR focuses on reforms to the interconnection processes for large loads connecting to the transmission system. The Commission subsequently issued the ANOPR and a Notice Inviting Comments on October 27, 2025, and granted a one-week extension of time on November 7, 2025.[2] The Organization of MISO States, Inc. ("OMS") offers the following comments to inform the Commission's decision-making in this proceeding.[3]

OMS is a non-profit, self-governing organization comprised of representatives from the seventeen regulatory bodies with jurisdiction over entities participating in the Midcontinent Independent System Operator ("MISO") and serves as the regional state committee for the MISO region. The purpose of OMS is to coordinate regulatory oversight among its members, to make recommendations to MISO, the MISO Board of Directors, the Commission, and other relevant government entities and state commissions as appropriate, and to intervene in proceedings before

[1] 42 U.S.C. § 7173(a).

[2] *Interconnection of Large Loads to the Interstate Transmission Sys.*, Advanced Notice of Proposed Rulemaking, Docket No. RM26-4-000 (Oct. 27, 2025); Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025); Notice Granting Extension of Time, Docket No. RM26-4-000 (Nov. 7, 2025).

[3] On November 4, 2025, OMS timely filed a doc-less Notice of Intervention in this proceeding.

the Commission to express the positions of OMS member agencies.

Service of pleadings, documents, and communications in this proceeding should be made on the following:

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I. SUMMARY OF COMMENTS

OMS appreciates the Department of Energy's and the Commission's attention to the growing need for timely, orderly, and nondiscriminatory interconnection of large loads such as data centers and new commercial and industrial facilities. While OMS supports the ANOPR's general objectives of promoting efficiency, reliability, transparency, and accountability in this emerging area, load interconnection study processes have been working well within the MISO footprint and there are no bottlenecks for interconnecting and energizing large loads that need attention in MISO.

With that said, OMS emphasizes the importance of robust analysis in this rulemaking process to ensure that any new processes that may result from this proceeding do not inadvertently disrupt the existing balance between federal policy and state oversight of resource adequacy and reliability planning. It is also essential that entities causing transmission impacts – directly or indirectly – bear their share of costs, and that states retain full visibility into how such determinations are made and costs are allocated. OMS urges the Commission to proceed thoughtfully, coordinating closely with Regional Transmission Organizations ("RTOs") and state utility commissions, to ensure that any potential large-load interconnection reforms *complement* rather than *complicate* existing state-jurisdictional processes governing retail service, resource adequacy, planning obligations, and reliability oversight as clearly set forth in the Federal Power Act ("FPA") and recognized in the ANOPR.

This effort also intersects with recent Presidential Executive Orders emphasizing the need to power the development of artificial intelligence and advance domestic industries while preserving energy affordability and reliability for all Americans.[4] These national goals, however, must align with state commissions' oversight responsibilities to ensure cost-effective, reliable retail service for consumers. In short, adhering to principles of cooperative federalism will be key to successfully achieving the national goals set for the electric industry.

II. COMMENTS

A. General Input on ANOPR

The electric industry has entered a period of rapid and complex transformation driven by dynamic system management, shifting periods of risk, unique load patterns, and increasing demand from data centers and other large energy users. OMS members, in collaboration with MISO and a broad set of stakeholders, are proactively navigating these challenges to ensure continued grid reliability while maintaining a focus on ratepayer value, reliability, and economic development. Working closely with MISO, OMS has been engaged in efforts to improve load forecasting, resource adequacy, and generation interconnection issues to ensure that current practices remain effective amid changing system conditions. In OMS's view, those efforts and existing processes have worked well to allow timely interconnection of large loads in MISO.

[4] Exec. Order 14,154: Unleashing American Energy (90 Fed. Reg. 8353) (Jan. 20, 2025); Exec. Order 14,179: Removing Barriers to American Leadership in Artificial Intelligence (90 Fed. Reg. 8741) (Jan. 23, 2025); Exec. Order 14,262: Strengthening the Reliability and Security of the U.S. Electric Grid (90 Fed. Reg 15521) (April 8, 2025); Exec. Order 14,318: Accelerating Federal Permitting of Data Center Infrastructure (90 Fed. Reg. 35385) (July 23, 2025).

It is essential that the Commission, DOE, states, utilities, and large-load customers work together in this proceeding to identify a clear and coordinated path forward while acknowledging that the implications of any final rule are significant. If outcomes of this proceeding cause regulatory gaps, unintended consequences, or are or not in alignment with the FPA (and other long-standing systems of cooperative federalism established in settled case law that have governed the electric grid for decades) the desired speed of interconnecting large loads could come to a standstill through unintended system inefficiencies, new bottlenecks, and most likely – legal challenges. These inefficiencies would occur at a time when rates are under pressure and system margins are tightening. In addition to respecting state jurisdiction and oversight, flexibility must remain a guiding principle: connecting large loads to the bulk power system without thorough study, without sufficient resource support, and without appropriate cost alignment could introduce new reliability risks and inequities across customer classes.

If this proceeding goes forward, the Commission must establish deliberate guardrails that anticipate the legal vulnerability highlighted by the *Tri-State* decision and recent Supreme Court rulings. A fine line should be parsed (if possible, here) to ensure the stated objectives of the ANOPR are paired with ensuring states maintain reliability and preserve resource adequacy; optimally, any such outcomes can be had without rewriting established state–federal construct, FERC can achieve a more durable, litigation-resilient outcome. The most effective path forward will be one that creatively addresses the real coordination challenges at hand while remaining grounded in the clear statutory boundaries that courts have repeatedly reinforced.

Below, OMS outlines several areas for consideration in this proceeding and urges a robust, transparent process cognizant of the objective of issuing a final rule by April 30, 2026.

B. Federal-State Jurisdictional Boundaries, Cooperative Federalism, and Implications of Jurisdictional Reclassification of Large Loads

The ANOPR proposes to expand the Commission's current jurisdiction, thereby limiting state oversight by requiring that the Commission regulate the interconnection of large loads on the transmission system. Under Order Nos. 888 and 2000, the Commission sought to strike a balance by reserving oversight of load interconnections to the states.[5] In doing so, the Commission recognized the impact any load interconnection has on retail rates and terms and service to end-use customers, a domain indisputably reserved to the states. Despite disclaiming any intent to regulate retail sales, the ANOPR appears to (at least potentially indirectly) impinge upon state authority by limiting flexibility in rate-setting, contract approval, and retail service oversight.

The Commission recently recognized the limits of its jurisdiction by rejecting Tri-State's proposed High Impact Load Agreement ("HILA"). The Commission found that it would impermissibly intrude on state-regulated retail rate matters by dictating specific terms and conditions of service between utilities and their end-use customers.[6] The Commission explained that under the FPA, its jurisdiction extends only to wholesale sales and transmission in interstate commerce, while retail sales are reserved to the states. The Commission emphasized that it cannot regulate retail sales "no matter how direct or dramatic" the effect on wholesale markets, and that

[5] *Promoting Wholesale Competition Through Open Access Non-Discriminatory Transmission Servs. by Pub. Utils.; Recovery of Stranded Costs by Pub. Utils. & Transmitting Utils.,* Order No. 888, 75 FERC ¶ 61,080, FERC Stats. & Regs. ¶ 31,036, 61 Fed. Reg. 21540-01, 21625 (1996) ("Order No. 888"), *on reh'g*, Order No. 888-A, 78 FERC ¶ 61,220, FERC Stats. & Regs. ¶ 31,048, *on reh'g*, Order No. 888-B, 81 FERC ¶ 61,248 (1997), *on reh'g*, Order No. 888-C, 82 FERC ¶ 61,046 (1998), *aff'd in relevant part sub nom. Transmission Access Poly Study Grp. v. FERC*, 225 F.3d 667 (D.C. Cir. 2000), *aff'd sub nom. New York v. FERC*, 535 U.S. 1 (2002); *Reg'l Transmission Orgs*., Order No. 2000, FERC Stats. & Regs. ¶ 31,089, at 30,993, (1999) (cross-referenced at 89 FERC ¶ 61,285), *order on reh'g*, Order No. 2000-A, FERC Stats. & Regs. ¶ 31,092 (2000) (cross-referenced at 90 FERC ¶ 61,201), *aff'd sub nom. Pub. Util. Dist. No. 1 of Snohomish Cnty., Wash. v. FERC,* 272 F.3d 607 (D.C. Cir. 2001).

[6] *Tri-State Generation and Transmission Association, Inc*., 193 FERC ¶ 61,070 (October 27, 2005).

Tri-State's proposal would improperly set retail service requirements such as minimum load and energy levels.[7]

The ANOPR's proposed framework would effectively reclassify new large-load interconnections as FERC-jurisdictional transmission. This shift could have far-reaching implications for the division of regulatory authority between states and the federal government. While the ANOPR focuses on transmission-level interconnection and potentially new wholesale rate treatment, it is known that these large loads will continue to affect retail sales, distribution system planning, and local cost recovery – areas historically overseen by state commissions.[8]

OMS is concerned that, as proposed, the ANOPR could sever the existing link between load interconnection and the utility's obligation to serve. Under long-standing state frameworks, regulated utilities are responsible for ensuring that interconnected loads receive reliable service supported by adequate resources. If FERC assumes jurisdiction over large-load interconnections, that accountability becomes unclear: would any entity be expressly obligated to serve the load, maintain reliability, or ensure capacity adequacy over time? In the MISO region, a well-functioning balance already exists: large loads are interconnected only after coordinated evaluation of transmission impacts, resource adequacy requirements, and the practical limits of construction timelines. Moreover, if the goal of the ANOPR is to better enable large loads to quickly interconnect, sufficient safeguards are needed to ensure that other customers are not adversely affected if the associated generation experiences operational or financial failure or if the load fails to materialize.

[7] Citing *FERC v. Elec. Power Supply Ass'n*, 577 U.S. 260, 279 (2016).

[8] If the scope of this ANOPR is solely designed to regulate large load interconnection processes, OMS members question how the inherent connections of load interconnection to retail rates and resource adequacy would not be implicated due to timing misalignment between the interconnection horizon and planning horizon.

The Commission should be cautious in its consideration of the suitability and transferability of large load interconnection processes from regions with differing regulatory constructs. Reliability coordination, cost allocation, and other market design differences are all relevant factors that must be considered. Some large load customers have expressed interest in the "connect and manage" approach to expedite large load interconnections without consideration for all of the state policy decisions that have enabled that in certain regions. OMS advocates for a comprehensive, contextualized view of large load interconnections and a proposed rule that is balanced to all RTOs and their respective regulatory constructs.

Importantly, the ANOPR provides no evidence or examples demonstrating that current state- or utility-administered interconnection processes are discriminatory or inadequate. Its premise – that asserting federal jurisdiction over large-load interconnections will not affect state authority – is likely incorrect. While the Commission claims that the proposal "does not impinge on States' authority over retail electricity sales," the practical effect of asserting jurisdiction over the interconnection of large load end-use retail customers to the transmission system would be to federalize what has historically been a state-governed function: retail delivery service.

FERC has consistently recognized, including in Order Nos. 2003 and 2023, that interconnection service is distinct from transmission service.[9] Yet under the ANOPR's reasoning, the act of connecting a large retail customer directly to transmission facilities could transform that retail delivery into a FERC-jurisdictional wholesale transaction – redefining distribution facilities and costs as transmission assets, shifting oversight of distribution expansion, maintenance, and

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[9] *See Standardization of Generator Interconnection Agreements & Procs., Order No. 2003*, 104 FERC ¶ 61,103 (2003) ("Order No. 2003"), *on reh'g*, Order No. 2003-A, 106 FERC ¶ 61,220 (2004), *on reh'g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *on reh'g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff'd sub nom. Nat'l Ass'n of Regul. Util. Comm'rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007); *Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 184 FERC ¶ 61,054 ("Order No. 2023"), *on reh'g*, 185 FERC ¶ 61,063 (2023), *on reh'g*, Order No. 2023-A, 186 FERC ¶ 61,199 (2024).

rate recovery from state commissions to FERC. The ANOPR states that is not the intent; however, if it occurs functionally, many related processes (and regulatory constructs or arrangements) would need to be reconsidered to address resulting jurisdictional and operational changes, gaps, and misalignment of regulatory authority.

If this reclassification of large load occurs, it will effectively compel states to unbundle retail service – a massive structural change with significant implications for ratepayers. For instance, existing customers would not be able to benefit from spreading a utility's generation and distribution fixed costs over additional sales if large loads are not subject to an incumbent utility's retail tariff provisions; the cost to procure sufficient capacity to serve the new system load would likely be socialized and may increase the potential for stranded costs if load does not materialize as expected; transmission congestion patterns may shift abruptly and significantly, depending on the size of the large load, thereby creating new network topology challenges and increased congestion costs; existing customers could experience increased transmission costs through additional reliablity projects; and any reliance on the grid for backup energy would increase the need for system capacity, energy, and ancillary services resulting in additional downstream costs for retail ratepayers.

Moreover, *unlike* generation interconnection, utilities have no incentive to discriminate against large loads, which represent new retail sales and rate-base investment opportunities. Rather than imposing federal jurisdiction, the Commission should pursue a cooperative federalism approach by developing voluntary best practices with states to improve interconnection efficiency, requiring load interconnection processes that enhance transparency, and other novel approaches to meet the moment. Such an approach would help avoid undermining state authority or established regulatory frameworks that ensure reliability, resource adequacy, and affordability.

By shifting interconnection of large loads from utilities and their state regulators to FERC, the ANOPR introduces uncertainty around key questions of responsibility and accountability, including resource adequacy, long-term planning, and cost allocation. The creation of what amounts to a new or expanded class of transmission-level retail customers raises novel jurisdictional, cost-recovery and rate-design questions, particularly in traditionally regulated, vertically integrated regions. Careful consideration will be needed to ensure that cost causation principles are maintained, that existing retail customers are not burdened, and guardrails exists to ensure lines are not blurred between resource adequacy, reliability, affordability and planning – all within the purview of the states. If large load interconnections inch outside of purely transmission interconnection procedures and parameters, this proceeding will raise novel questions that are considerably more expansive than outlined here.

Today, in the MISO-region, the current system largely relies on utilities as gatekeepers for new load additions - providing critical checks for resource adequacy, reliability, and affordability. MISO's existing Expedited Project Review ("EPR") process exemplifies this structure, in which utilities and transmission owners manage system additions within a framework that includes state oversight, public input, and accountability. These functions, cost causation analysis, public-interest determinations, retail affordability, and reliability obligations are foundational to state regulation, system reliability, and affordability. If this proceeding alters the existing chain of responsibility, it is imperative that FERC ensure equivalent mechanisms for coordination and transparency to avoid duplicative oversight, process confusion, delays in interconnection, or system instability.

Accordingly, the Commission should limit its authority over large-load interconnection requests to the study process itself, with clear guardrails ensuring no effect on retail service obligations. OMS urges the Commission to carefully evaluate these implications and work collaboratively with states to preserve the integrity of existing oversight structures while enabling timely and efficient large-load interconnections. OMS welcomes further discussion on methods to avoid these complexities and the unintended cost and process inefficiencies that would otherwise occur absent such coordination.

C. <u>Considerations and Protections Needed if FERC Truly Limits Authority to Transmission-Level Interconnection Studies</u>

If the Commission proceeds with this initiative, it must ensure that any large-load interconnection process remains tightly confined to the existing transmission-level, FERC-jurisdictional facilities and does not encroach upon state jurisdiction over retail service, distribution infrastructure, or reliability oversight.

First, jurisdictional scope must be clearly defined. FERC's jurisdiction over large-load interconnections should be limited to FERC-jurisdictional transmission facilities, excluding any facilities traditionally classified as local distribution under the Commission's seven-factor test. Large loads should be defined by size, not by ownership, use, or energy source, to avoid creating new customer categories that imply retail-service eligibility. The Commission should provide further details as to how it will ensure that these guardrails are in place.

Second, the scope of interconnection service must be narrowly interpreted. The process should encompass only engineering and transmission system impact studies and should expressly disclaim any implication of authority over distribution system planning, retail service, or procurement. FERC should confirm that interconnection under this framework does not confer a right to self-procure from wholesale markets, except through approved arrangements such as co-location or behind-the-meter generation used for flexibility or demand-response purposes.

Third, to maintain system reliability and process integrity, FERC should require large loads seeking to interconnect to demonstrate: site control, proof of transmission service, state notification and consultation, and disconnection authority if service obligations are not met. FERC should also consider any and all generation requirements and NERC standards necessary to allow large loads interconnection, especially if fast tracked.

Fourth, guardrails are needed to prevent inadvertent reliance on other authorities, such as FPA Section 202(c) emergency powers. Even if FERC disclaims retail jurisdiction here, any rule that expedites large-load interconnections without corresponding resource adequacy or transmission service assurances could lead to near-term reliability shortfalls, particularly if the interconnection window is unreasonably shortened without adequate study or coordination. The Commission could, for example, require that large loads obtain verification from a Relevant Electric Retail Regulatory Authority ("RERRA") that a Load-Serving Entity ("LSE") is working with the load to ensure resource adequacy and reliability obligations are met. This would be similar to the FERC-approved Expedited Resource Addition Study processes in MISO for expedited interconnection of generators. In concert with a federally expedited large load interconnection process, guardrails are required to preserve the role of state oversight. The Commission should ensure that any potential large load interconnection rule offers guardrails that recognize the core function that states have to adequately consider and mitigate relevant impacts within their jurisdiction.

Fifth, coordination and accountability are essential. Any final rule should require notification and consultation with affected state commissions, LSEs, and utilities prior to approval of any large-load interconnection. Large loads should be required to identify a designated LSE responsible for meeting resource adequacy and reliability obligations under state law. In regions with retail choice, FERC should clarify how such obligations will be fulfilled to prevent the emergence of unserved or unbalanced wholesale load interconnections.

Sixth, process integrity must be maintained. To reduce regulatory burden, ease interconnection, and ensure system reliability, FERC should consider and implement safeguards to prevent "load shopping" among transmission providers or queue gaming by large-load applicants with significant financial resources. Robust study requirements must exceed current EPR thresholds and fully account for available firm service, deliverability, and cost-allocation impacts.

Finally, state retail-service boundaries must be expressly preserved. The Commission should include clear provisions ensuring that this interconnection process does not circumvent state-jurisdictional cost recovery mechanisms or retail service obligations. If the Commission were to override or bypass these structures, it would effectively separate interconnection from service responsibility, creating a regulatory gap where no entity is clearly accountable for maintaining reliability or ensuring costs are prudently assigned or recovered.

D. <u>Other Items and Considerations</u>

1. 20 MW Threshold

In the ANOPR, the DOE and Commission propose establishing a 20 MW minimum threshold for the definition of "large load" consistent with how the Commission defined large generation resources in Order No. 2003. If the Commission continues to develop this rule by issuing a NOPR, it should consider increasing the threshold. Defining large loads as any interconnecting customer demanding a minimum of 20 MW would likely limit any efficiencies or benefits intended by the ANOPR due to the sheer number of prospective large loads. While Tri-State in its recent tariff filing proposed to define HIL as load exceeding or forecasted to exceed 45

MW within four years, many other states have approved or are considering large load tariffs that all contemplate a range of 100-150 MW.[10]

Furthermore, if a goal of the ANOPR is to ultimately incentivize co-located generation dedicated to large loads, the threshold should be one that is economically sensible for the large load to develop its own generation and avoid causing harm to existing customers.

2. Large Load Flexibility/Co-Location

OMS appreciates the ANOPR's attempts to incentivize flexible demand and co-location of load with on-site generation. Such frameworks – or some combination thereof – have the potential to reduce the cost of network upgrades, lower the amount of generation needed to serve the interconnecting large load, shorten the time required to interconnect the prospective large load, and help shield existing customers from costs caused by the large load. Many states, utilities, RTOs, and other Transmission Providers are exploring similar incentive structures including revising existing demand response participation options and evaluating economic and reliability benefits and tradeoffs of co-location. Notwithstanding the jurisdictional concerns presented by the ANOPR, enabling load flexibility is critical to accelerating the interconnection of large loads while maintaining a reliable and affordable grid for existing customers.

Careful consideration is required if and when these large loads are interacting with the transmission system, as cost allocation frameworks become even more complicated when a load or resource is grid connected. As the Commission develops proposed requirements for flexible or co-located loads, it should ensure potential changes to existing regulatory constructs, public engagement processes, cost allocation frameworks, wholesale markets, and transmission planning

[10] Smart Electric Power Alliance, *Database of Emerging Large Load Tariffs (DELTa)* available at: https://sepapower.org/large-load-tariffs-database/ (last accessed Nov. 7, 2025).

are sufficiently stringent to shield existing customers from negative impacts and to determine whether the large loads are paying for the grid services they use (transmission, ancillary services, reliability backstop, etc.).

III. CONCLUSION

OMS remains concerned about any shift in the current jurisdictional construct and underscores the importance of maintaining the long-established boundary between federal and state authority. The Commission must ensure that any proposed framework preserves jurisdictional clarity, cost transparency, and reliability alignment, while respecting the states' traditional oversight of retail service and distribution systems.

As the Commission evaluates ANOPR comments and outcomes in related PJM proceedings,[11] OMS urges careful consideration of the broader implications for cost allocation, classification, and tariff clarity in other regions, including MISO. OMS stands ready to continue engaging with the Commission in this proceeding and to share regional data, process experience, and cooperative solutions that can help achieve the Commission's objectives without compromising state authority or consumer protection.

OMS submits these comments because a majority of OMS members support this filing. This should not be construed to mean that all OMS members agree with all comments herein. Individual OMS members reserve the right to file separate comments. In recognition of such, the following members voted in support of this filing:

Arkansas Public Service Commission
Illinois Commerce Commission
Iowa Utilities Commission
Kentucky Public Service Commission

[11] *PJM Interconnection, L.L.C*, 190 FERC ¶ 61,115 (Feb. 20, 2025).

Louisiana Public Service Commission

Michigan Public Service Commission

Minnesota Public Utilities Commission

Mississippi Public Service Commission

Missouri Public Service Commission

Montana Public Service Commission

New Orleans City Council

North Dakota Public Service Commission

South Dakota Public Utilities Commission

Public Utility Commission of Texas

Public Service Commission of Wisconsin

The Indiana Utility Regulatory Commission abstained from the vote on this filing. The Manitoba Public Utilities Board did not participate in the vote on this filing.

Respectfully submitted,

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Dated: November 21, 2025

CERTIFICATE OF SERVICE

I certify that I have served a copy of the foregoing document upon all parties listed on the official service list prepared by the Secretary in the above-referenced proceeding in accordance with the requirements of Rule 2010 of the Commission's Rules of Practice and Procedure. 18 C.F.R. § 385.2010.

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Dated: November 21, 2025